Vietcap

Update

Techcombank (TCB) BUY +21.8%

Industry	**Banking**
Report Date	**December 2, 2024**
Current Price	VN23,600
Target Price	**VND28,000**
Last Target Price*	VND26,000
Upside to TP	18.6%
Dividend Yield	3.2%
TSR	**21.8%**

Market Cap	USD6.6bn
Foreign Room	USD14.6mn
30D ADTV	USD10.1mn
State Ownership	0%
Outstanding Shares	7.045 bn
Fully Diluted O/S	7.045 bn

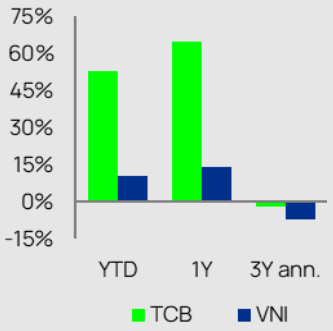
	TCB	Peers	VNI
P/E (ttm)	7.36x	8.8x	14.6x
P/B (cur.)	1.2x	1.4x	1.6x
ROE	16.5%	18.6%	12.5%
ROA	2.5%	1.7%	1.9%

*Adjusted for a 100% stock dividend in June 2024

Company overview

Established in 1993, Techcombank is the fifth largest bank in our coverage as calculated by total assets; The bank's mortgages/gross loans are among the highest in the sector. The bank listed shares in June 2018.

Share price performance



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	2023	2024F	2025F	2026F
PPOP	26,809	33,192	38,749	46,024
PPOP % YoY	-2.5%	23.8%	16.7%	18.8%
NPAT-MI	18,004	21,710	26,083	30,354
NPAT-MI % YoY	-10.7%	20.6%	20.1%	16.4%
EPS % YoY	-10.8%	20.4%	20.1%	16.4%
NIM	4.02%	4.28%	4.33%	4.40%
CASA ratio	39.9%	37.0%	37.0%	37.0%
NPLs/gross loans	1.19%	1.24%	1.15%	1.15%
Credit costs	0.76%	0.88%	0.75%	0.84%
CIR	33.1%	33.6%	32.0%	32.0%
P/B	1.3x	1.1x	1.0x	0.9x
P/E	9.2x	7.7x	6.4x	5.5x
ROE	14.8%	15.7%	16.7%	17.0%
ROA	2.3%	2.4%	2.5%	2.5%

Expecting weak Q4 2024, yet earnings outlook on track

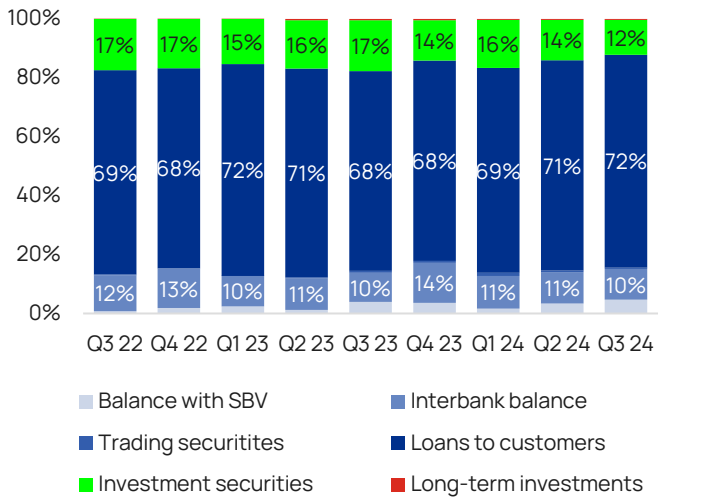
- We raise our target price (TP) for TCB by 7.7% to VND28,000/share and upgrade our rating from OUTPERFORM to BUY.
- Our higher TP is mainly due to (1) the positive impact of rolling our TP horizon forward to end-2025F and (2) a decrease in our assumption for TCB's cost of equity due to an updated beta.
- We broadly maintain our aggregate earnings forecast for 2024-2028F (respective changes of -4.3%/1.1%/ 0.5%/1.0% /0.2% in 2024/25/26/27/28F).
- We cut our forecast for 2024F NPAT-MI by 4.3% to VND21.7tn (+20.6% YoY) due to (1) a 5.9% decrease in our NOII forecast with a 10.5% lower forecast for NFI (including FX trading gains), and (2) an 8.4% increase in OPEX due to VND1.8tn termination costs of Manulife's exclusive bancassurance partnership, which will be booked as OPEX in Q4 2024. These are partly offset by (1) a 2.5% increase in NII due to a higher NIM forecast, and (2) a 1.6% increase in our provision expenses forecast.
- **Downside risks to our positive view:** Lower-than-expected credit quota; lower-than-expected CASA ratio; lower-than-expected pace of recovery of NFI; higher-than-expected credit losses from loans and corporate bonds.

We raise our 2024F NIM projection by 5 bps to 4.28% (+26 bps YoY) and project a modest improvement in 2025F NIM. In 9M 2024, TCB's NIM exceeded our expectation, primarily due to lower-than-expected funding costs, which were driven by the continuous rolling of deposits at lower interest rates and the effectiveness of TCB's auto-earning program (a scheme that enables customers to optimize idle cash in their term deposits). In Q4 2024, we expect NIM to remain flat compared to Q3, as competition in lending and the rollover to slightly higher interest rates offset the seasonal CASA increase. For FY2025, we project a 5-bps YoY increase in NIM to 4.35%. Per TCB's management at the analyst meeting in Q3 2024, the flexible pricing scheme will not be extended in 2025, and the bank does not anticipate recovering any interest income from the program during the year.

We lower our assumption for pure NFI in 2024F/2025F by 12%/14% respectively, due to the impact of regulations on LC and the strategic changes in bancassurance activities. Since Q3 2024, pure NFI witnessed QoQ declines in fees across all activities vs a high base in Q2 2024, partly due to the Circular 21 on the recognition and treatment of LC activities. In Q4 2024, we forecast TCB's NFI to see a moderate QoQ improvement due to the temporary absence of banca fees. While no exclusive partnership is planned yet, the bank expects to announce a temporary life insurance distribution agreement soon. TCB does not foresee any negative impact on 2025 bancassurance revenue from this termination. In terms of non-life insurance, TCB currently holds an 11% stake in the new non-life insurance company, which the bank believes to exert greater influence on the entire value chain, from product design to customer engagement.

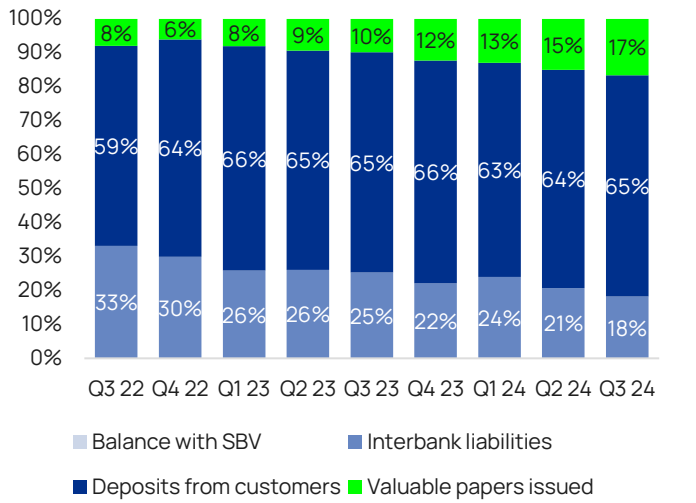
Quarterly balance sheet metrics

Figure 1: Breakdown of IEAs



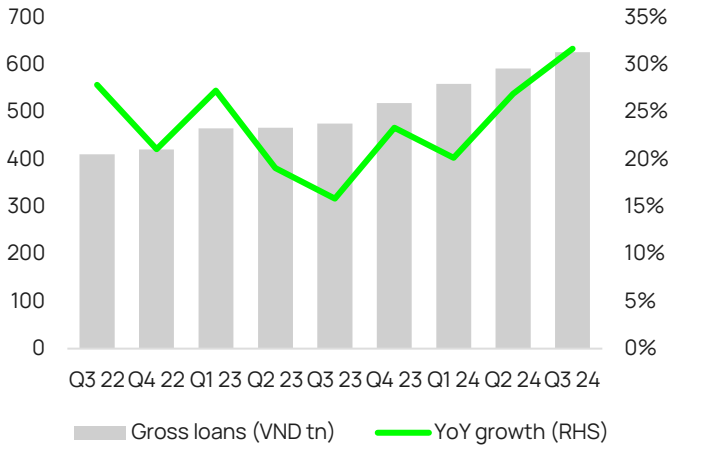
Source: TCB, Vietcap

Figure 2: Breakdown of IBLs



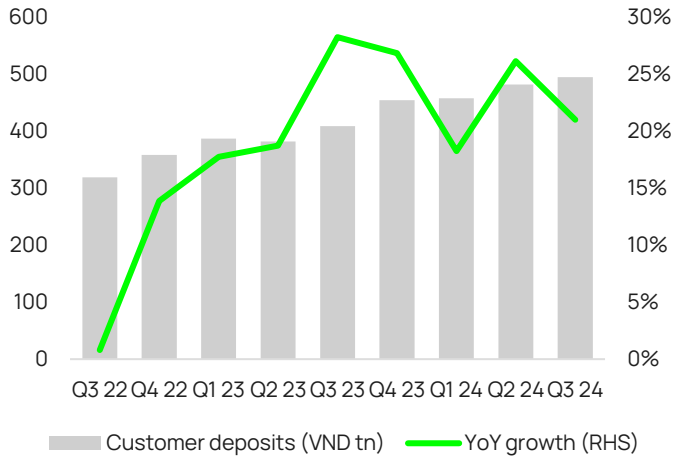
Source: TCB, Vietcap

Figure 3: Customer loans



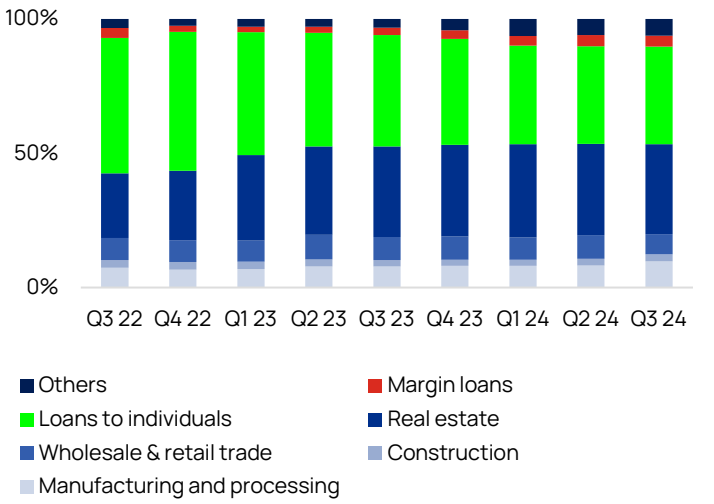
Source: TCB, Vietcap

Figure 4: Customer deposits



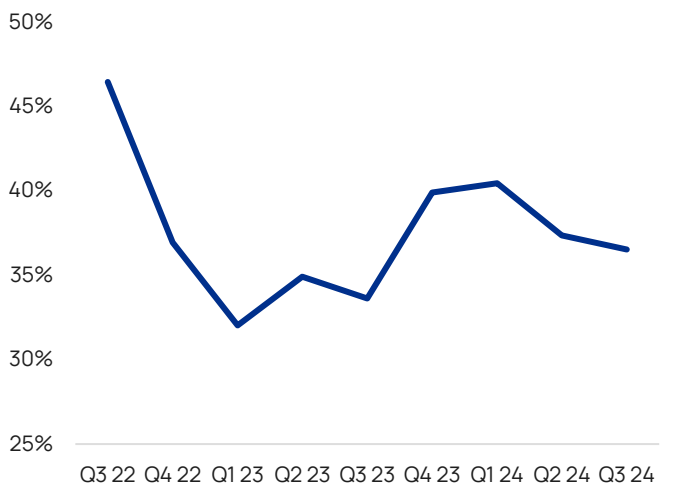
Source: TCB, Vietcap

Figure 5: Breakdown of loans by industry



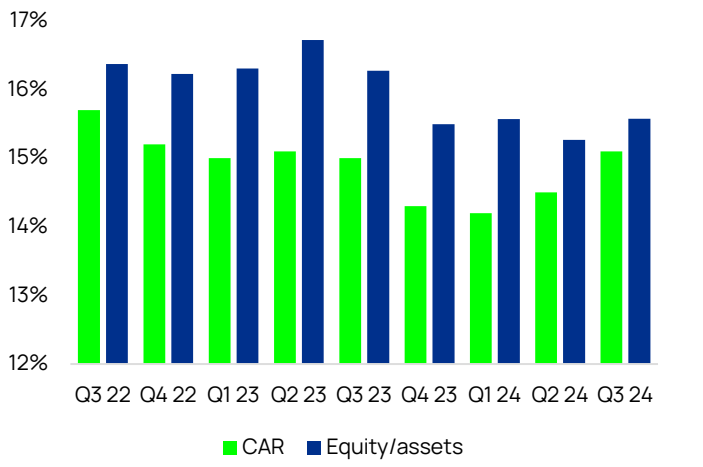
Source: TCB, Vietcap

Figure 6: CASA ratio



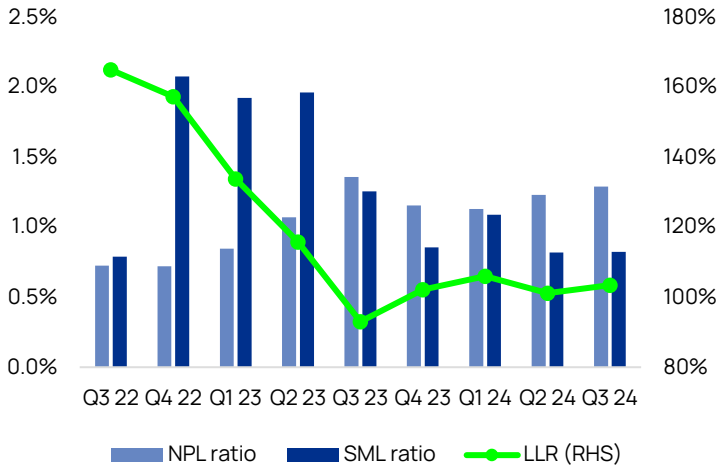
Source: TCB, Vietcap

Figure 7: CAR ratio and leverage (equity/assets)



Source: TCB, Vietcap

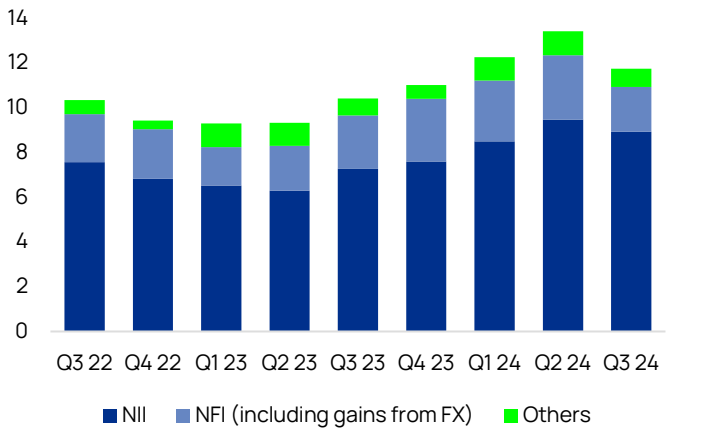
Figure 8: Asset quality



Source: TCB, Vietcap

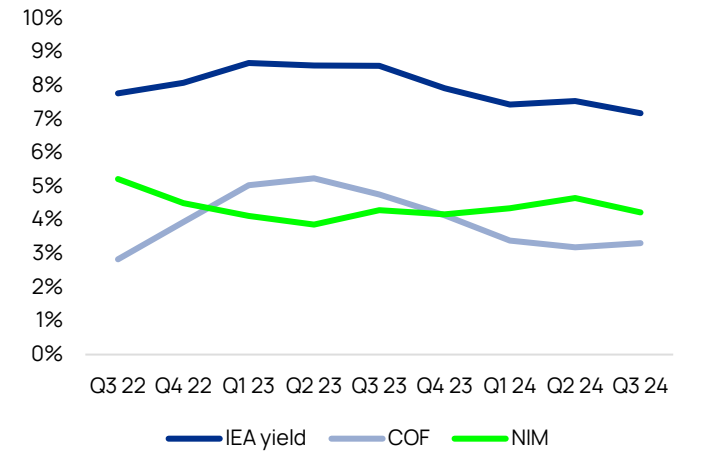
Quarterly P&L and profitability metrics

Figure 9: TOI breakdown (VND tn)



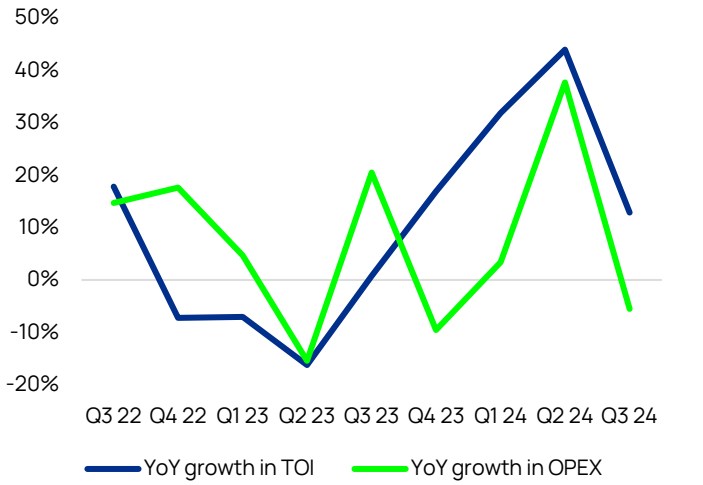
Source: TCB, Vietcap

Figure 10: IEA yield, COF, and NIM



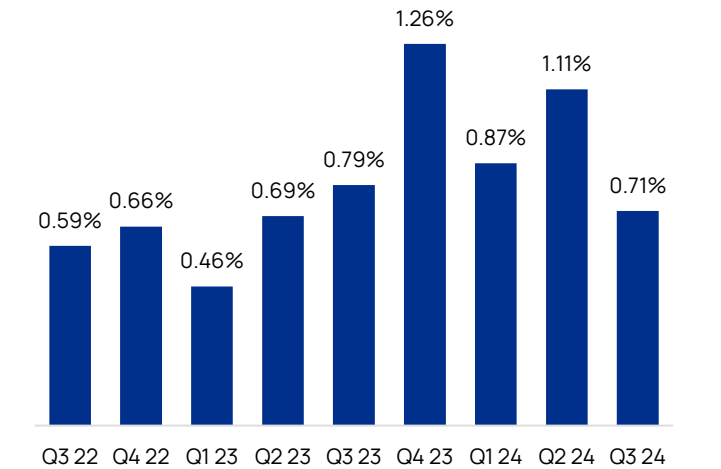
Source: TCB, Vietcap

Figure 11: YoY growth in TOI and OPEX



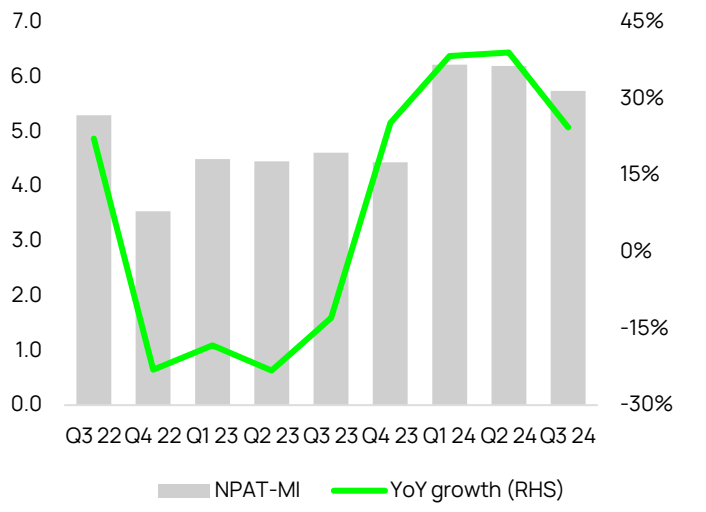
Source: TCB, Vietcap

Figure 12: Annualized credit costs



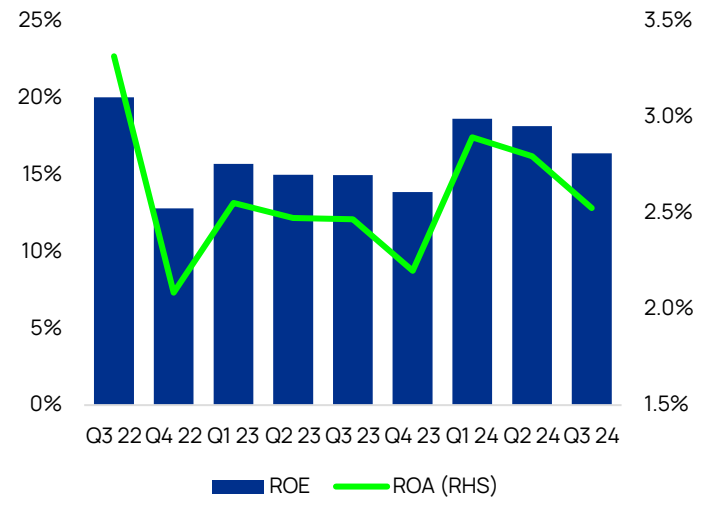
Source: TCB, Vietcap

Figure 13: NPAT-MI (VND tn) and YoY growth



Source: TCB, Vietcap

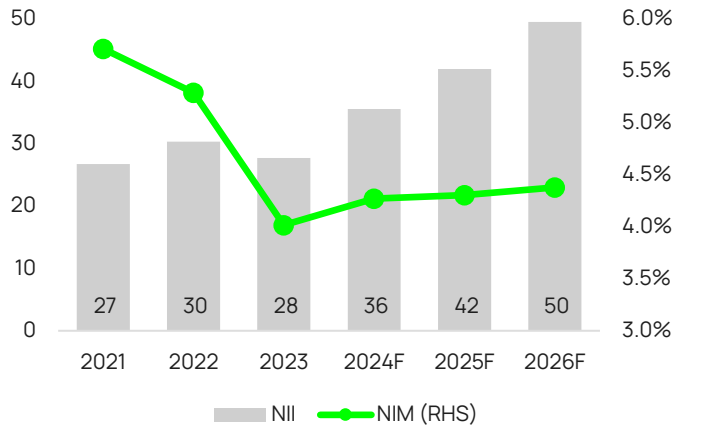
Figure 14: ROA and ROE



Source: TCB, Vietcap

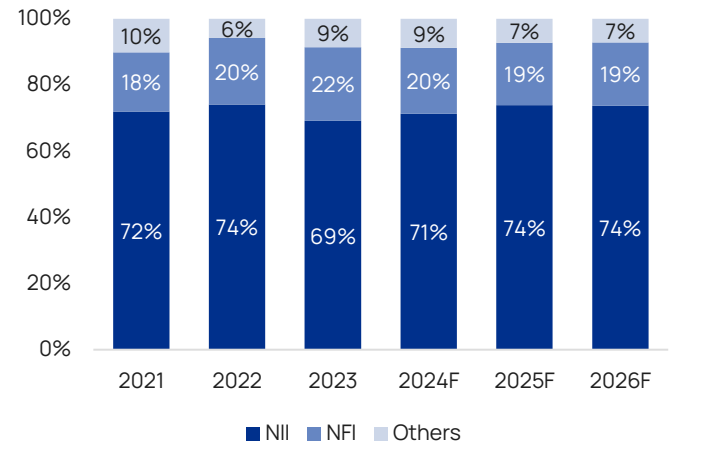
Annual metrics

Figure 15: NIM (%) and NII (VND tn)



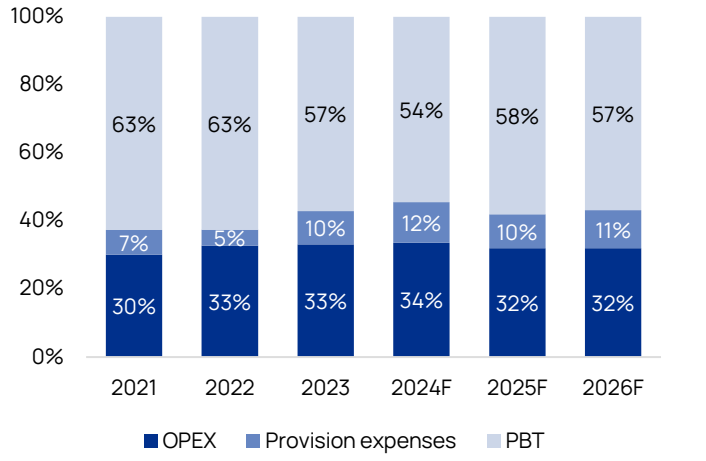
Source: TCB, Vietcap forecasts

Figure 16: TOI components



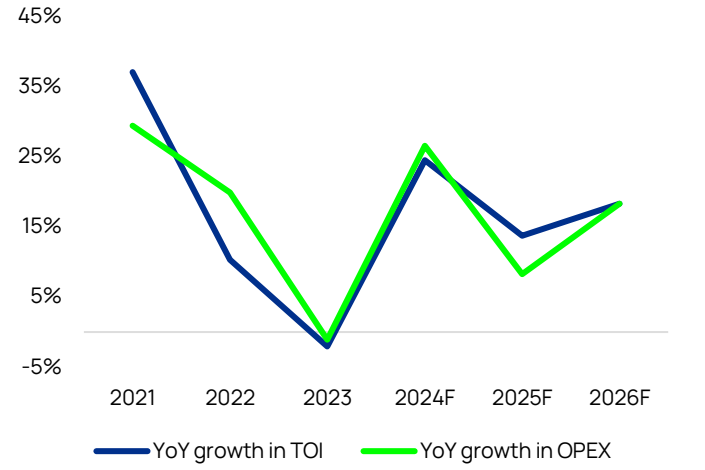
Source: TCB, Vietcap forecasts

Figure 17: OPEX, provision expenses, and PBT as % of TOI



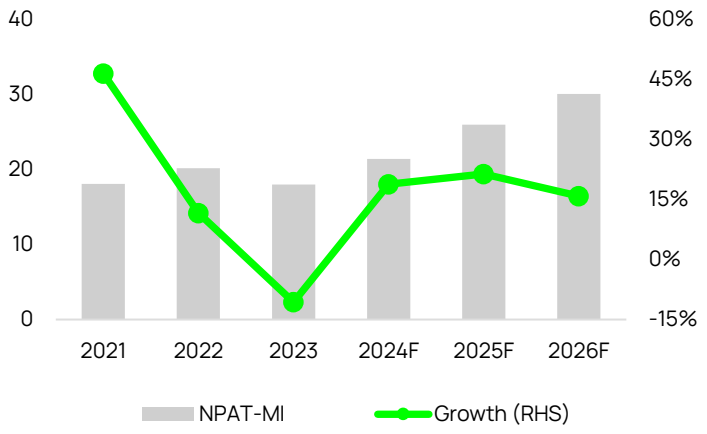
Source: TCB, Vietcap forecasts

Figure 18: YoY growth in TOI and OPEX



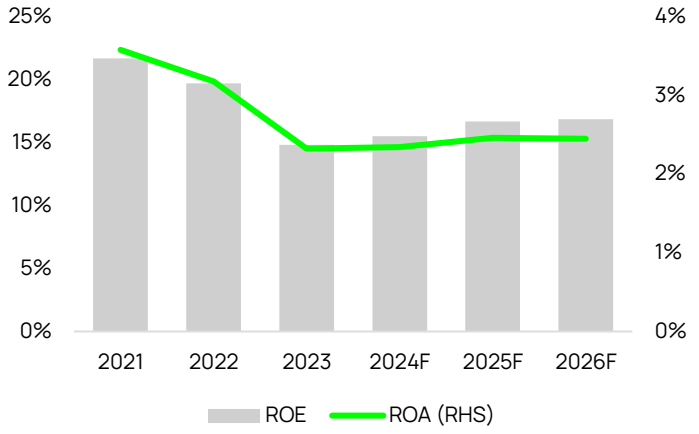
Source: TCB, Vietcap forecasts

Figure 19:NPAT-MI (VND tn) and NPAT-MI growth (%)



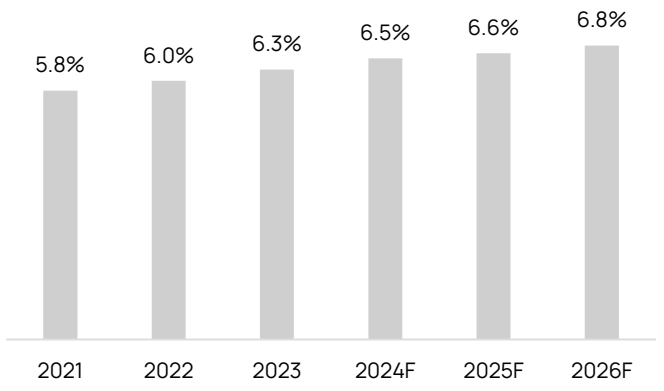
Source: TCB, Vietcap forecasts

Figure 20: ROA and ROE



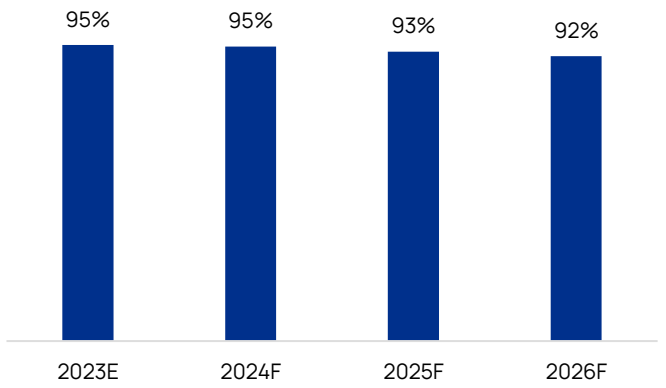
Source: TCB, Vietcap forecasts

Figure 21: Lending market share in our coverage universe



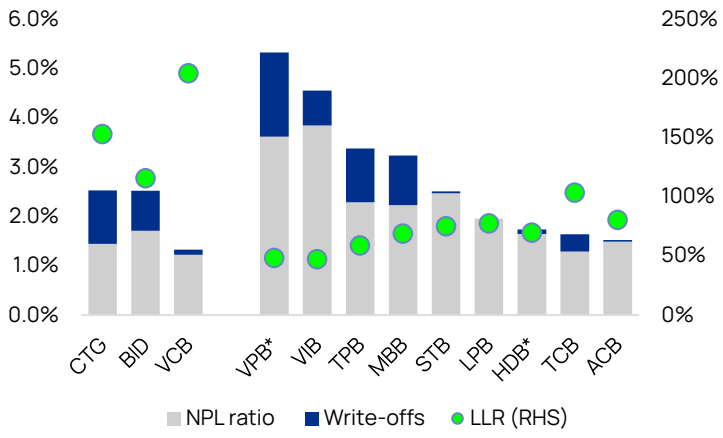
Source: Company data, Vietcap forecasts

Figure 22: RWAs as % of total assets



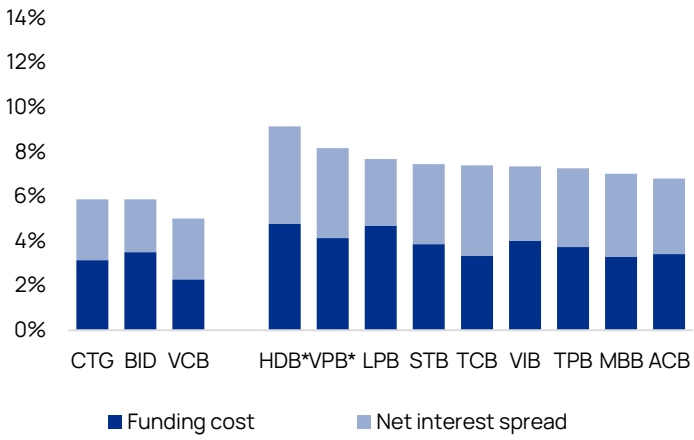
Source: TCB, Vietcap forecasts

Figure 23: NPL ratio, annualized write-offs over gross loans, and LLR of banks under coverage (Q3 2024)**



Source: Company data, Vietcap — * Standalone bank only; ** LLR is percentage of total provision balance over NPLs.

Figure 24:Interest-earning asset yields of banks under coverage (9M 2024)



Source: Company data, Vietcap — * Standalone bank only

Valuation

We utilize two valuation methodologies to derive our estimated target price, including (1) the residual income method with 50% weighting and the target P/B method with 50% weighting.

We raise our target price (TP) for TCB by 7.7% to VND28,000/share and upgrade our rating from OUTPERFORM to BUY.

Our higher TP is mainly due to (1) the positive impact of rolling our TP horizon forward to end-2025F and (2) a decrease in our assumption for TCB's cost of equity due to an updated beta.

We broadly maintain our aggregate earnings forecast for 2024-2028F (respective changes of -4.3%/1.1%/ 0.5%/1.0% /0.2% in 2024/25/26/27/28F).

We continue to apply a specific beta assumption for TCB, which is estimated based on trailing two-year raw betas from Bloomberg with a 50% weighting and a beta of 1.0, also with a 50% weighting, to reflect the assumption that the beta should revert to the mean over the long run.

Figure 25: Cost of equity

Cost of equity	Previous	Revised
Risk free rate	6.0%	6.0%
Beta (*)	1.24	1.23
Market risk premium	8.0%	8.0%
Cost of equity	**15.9%**	**15.8%**

Source: Bloomberg, Vietcap (* beta is calculated based on trailing two-year raw betas from Bloomberg with a 50% weighting and a beta of 1.0, also with a 50% weighting)

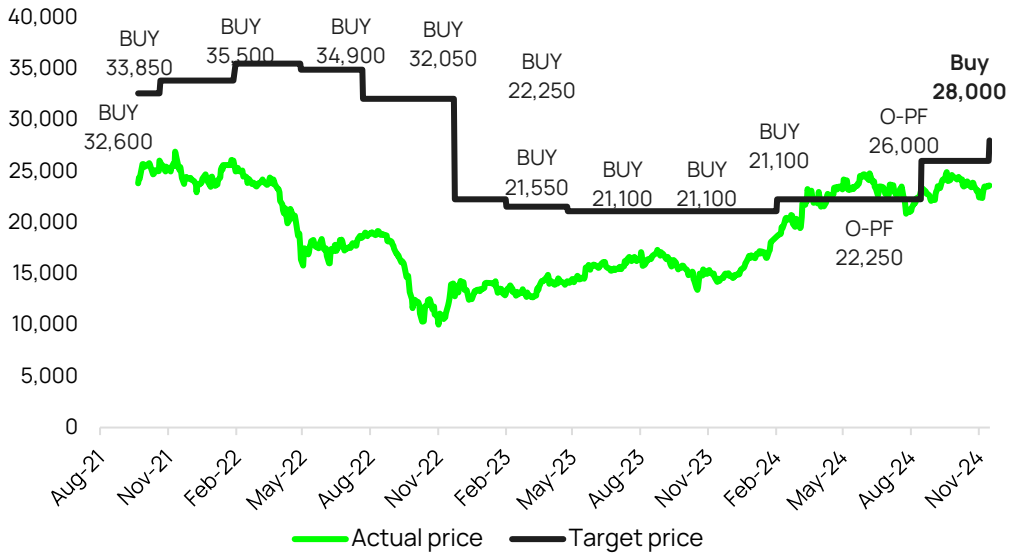
Figure 26: Valuation summary

(VND bn)	Fair value	Weighting	Contribution
Residual income	198,817	50%	99,408
Target P/B @ 1.2x end-2025F BV	196,356	50%	98,178
Composite valuation			**197,586**
Number of shares outstanding (bn)			7.045
Target price (VND)			28,000
Current price (VND)			23,600
Upside			18.6%
Dividend yield			3.2%
TSR			**21.8%**
2024F P/B at TP			1.35x
2025F P/B at TP			1.19x
RATING			**BUY**

Source: Vietcap

Recommendation History

Figure 27: Historical Vietcap target price vs share price (VND/share)



Source: FiinPro, Vietcap

Financial Statements

P&L (VND bn)	2023	2024F	2025F	2026F
Interest inc.	56,708	62,027	73,968	87,849
Interest exp.	(29,017)	(26,360)	(31,735)	(38,102)
Net interest inc.	**27,691**	**35,668**	**42,233**	**49,747**
Fee & commission inc.	8,715	8,801	10,409	12,910
Other non-int. inc.	3,655	5,532	4,342	5,025
Total non-interest inc.	12,370	14,333	14,751	17,935
Total operating inc.	**40,061**	**50,000**	**56,984**	**67,682**
Non-interest exp.	(13,252)	(16,808)	(18,235)	(21,658)
Other G&A exp.	0	0	0	0
Total operating exp.	(13,252)	(16,808)	(18,235)	(21,658)
PPOP	**26,809**	**33,192**	**38,749**	**46,024**
Provision exp.	(3,921)	(5,618)	(5,645)	(7,519)
Other inc./exp.	0	0	0	0
Pre-tax profit	**22,888**	**27,574**	**33,104**	**38,505**
Taxes	(4,697)	(5,659)	(6,794)	(7,902)
Net profit	**18,191**	21,915	26,310	30,603
Minorities/pref divs	(187)	(206)	(226)	(249)
NPAT-MI	**18,004**	**21,710**	**26,083**	**30,354**
Y/E shares (mn)	7.045	7,045	7,045	7,045
Wt avg shares (mn)	7.037	7,045	7,045	7,045
EPS (VND)	2,553	3,075	3,695	4,299
DPS (VND)	750	750	750	750

B/S (VND bn)	2023	2024F	2025F	2026F
Cash & equivalents	3,621	4,120	4,897	5,851
Balances with SBV	27,141	17,698	21,038	24,921
Due from FIs	104,072	128,915	136,733	161,783
ST investments	109,427	120,158	131,025	142,876
Net customer loans	512,514	630,923	745,590	879,986
HTM	0	0	0	0
Long term investments	3,046	3,138	3,232	3,329
Property & equipment	8,893	9,817	10,799	11,879
Other assets	80,769	61,749	80,981	92,299
Total assets	**849,482**	**976,519**	**1,134,296**	**1,322,924**
Borrowings from SBV	0	58	68	82
Interbank liabilities	153,173	164,770	181,246	208,433
Other borrowed funds	0	0	0	0
Customer deposits	454,661	509,220	611,064	733,277
Other financial int.	0	0	0	0
Valuable papers	84,703	131,290	150,984	166,082
Other liabilities	25,317	24,051	22,848	21,706
Total liabilities	**717,854**	**829,388**	**966,211**	**1,129,580**
Shareholders' equity	130,311	145,659	166,403	191,410
MI	1,317	1,472	1,682	1,934
Liabilities & equity	**849,482**	**976,519**	**1,134,296**	**1,322,924**

RATIOS (%)	2023	2024F	2025F	2026F
Growth				
Loan growth	23.3	23.3	18.0	18.0
Deposit growth	26.9	12.0	20.0	20.0
TOI growth	(2.1)	24.8	14.0	18.8
PPOP growth	(2.5)	23.8	16.7	18.8
NPAT-MI growth	(10.7)	20.6	20.1	16.4
Asset quality				
Group 2 / loans	0.88	0.86	0.85	0.85
NPL ratio	1.19	1.24	1.15	1.15
LLR	102.1	112.6	108.3	106.5
Provision exp. / loans	0.76	0.88	0.75	0.84
CAR & LDR				
CAR under Basel II	14.4	14.2	14.2	14.2
Regulated LDR	74.9	80.0	80.6	81.1

RATIOS (%)	2023	2024F	2025F	2026F
Profitability				
NIM	4.02	4.28	4.33	4.40
Int-earning asset yields	8.22	7.45	7.59	7.76
Funding costs	4.63	3.52	3.63	3.71
CIR	33.1	33.6	32.0	32.0
ROE decomposition (as % of avg total assets)				
NII	3.58	3.91	4.00	4.05
Provisions	(0.51)	-0.62	-0.53	-0.61
Post-provision NII	**3.07**	**3.29**	**3.47**	**3.44**
Non-Interest inc.	1.60	1.57	1.40	1.46
Operating exp.	(1.71)	-1.84	-1.73	-1.76
Taxes & MI	(0.63)	-0.64	-0.67	-0.66
ROAA	**2.33**	**2.38**	**2.47**	**2.47**
Equity Mult. (x)	6.4	6.6	6.8	6.9
ROAE	**14.8**	**15.7**	**16.7**	**17.0**

Source: TCB, Vietcap forecasts

Vietcap Rating System

Stock ratings are set based on projected total shareholder return (TSR), defined as (target price – current price)/current price + dividend yield, and are not related to market performance.

Equity rating key	Definition
BUY	If the projected TSR is 20% or higher
OUTPERFORM	If the projected TSR is between 10% and 20%
MARKET PERFORM	If the projected TSR is between -10% and 10%
UNDERPERFORM	If the projected TSR is between -10% and -20%
SELL	If the projected TSR is -20% or lower
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Unless otherwise specified, these performance parameters are set with a 12-month horizon. Movement in share prices may cause a temporary mismatch between the latest published rating and projected TSR for a stock based on its market price and the latest published target price.

Target prices are generally based on the analyst's assessment of the stock's fair value over a 12-month horizon. However, the target price may differ from the analyst's fair value if the analyst believes that the market will not price the stock in line with assessed fair value over the specified time horizon.

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